

U

UNTIL RECENTLY, INVESTING in an initial public offering (IPO) was a tedious process, with the whole procedure taking more than a couple of weeks to complete. Similarly, opening a demat account or waiting for the shares or funds to be credited in the investor's account used to take a few days, at least. The scenario was no different in the mutual fund (MF) space or, for that matter, most aspects related to the Indian stock market. Although the Indian capital markets were safe and robust, speed was something that was still in the slow lane.

The past couple of years have seen a paradigm shift in the way the domestic market behaves. In fact, the Indian stock market is set to see a significant transformation in the next few years. Capital markets regulator, the Securities and Exchange Board of India (Sebi), and other market intermediaries are working together to make the domestic stock market faster, more robust, and more diverse. This means stocks will no longer be the sole focus; other instruments will also take centre stage.

The coming years could also see a huge influx of retail money into the bond markets through the exchanges, as policymakers

take steps towards lowering the minimum investment amount, to potentially as low as ₹10,000 from the current ₹1 lakh. In line with the government's efforts to move money from tangible assets like real estate and physical gold to financial investments, the stock markets are expected to see more retail flows in small and mid-sized commercial properties through real estate investment trusts (REITs) and also in sovereign gold bonds. Not to forget the social stock exchange (SSE) framework that would entice both for-profit and not-for-profit organisations to raise funds through stock markets.

And, this exciting future is within reach, because of the powerful combination of technological prowess and the evolving regulatory framework of the Indian markets. By harnessing the full potential of technology,

the Indian stock market could implement instantaneous settlement, making trading in stocks and the movement of money as seamless as in a bank account. This innovation has the potential to attract a wave of new investors, further enhancing the liquidity of the market.

IN THE FAST LANE

Currently, India does not have the biggest stock market globally, nor does it boast the highest depth or liquidity across all segments; but it stands out among the global markets for its exceptional trading speed.

Indian stocks are already trading on a T+1 basis settlement cycle—if an investor buys shares today, the shares are credited to her demat account the very next day, or if she sells the shares today, the money gets credited

181

TAKING SHAPE

- Social Stock Exchange • Instant Settlement
- Small and Medium REITs (SM REITs) • Shorter IPO timeline • Enhanced focus on ESG disclosures
- Better disclosure, transparency for FPIs
- UPI-based ASBA-like feature in secondary markets



“Technological advancements will play a pivotal role in the Indian market’s unbeatable rise. The shift to instant settlement, as envisioned by Sebi, is groundbreaking”

KRESHA GUPTA

FOUNDER, CHANAKYA OPPORTUNITIES FUND 1